

IMPLICATIONS

Deflation Ahead

The Elliott Wave pattern in the price of gold has perfectly reflected all three periods of differing monetary background over the past 17 years: the inflation from 1967 to 1980, the brief deflation from 1980 to 1982, and the stable reflation/disinflation from 1982 to the present. The inflation was reflected by a five wave impulse labeled I-II-III-IV-V, which was a "bull market," the deflation was reflected by a decline labeled wave W, which was part of a "bear market," and the stable reflation has been reflected by an upward triangle to be labeled wave X, which has been a "bear market rally." The Wave Principle has been invaluable in tracking all three of these formations. Now it indicates an approaching decline for wave Y, the final part of the "bear market," which according to precedent should reflect a severe deflation.

Gold Fall Means Dollar Rally

As explained in Chapter 14, there is an excellent probability that for a brief time, the U.S. dollar will enjoy a violent rally in response to disappearing dollar denominated assets and the scramble for dollars to pay debts. Figures 17-16 and 17-17 show the price of gold in terms of Deutsche marks and Japanese yen. As with gold in terms of Swiss francs (not shown), gold in terms of yen has entered the zone of the preceding fourth wave, while in mark terms it is close. Though it is *possible* that the price of gold in terms of dollars is also near the end of a bear market, as indicated in the bottom half of Figure 17-13, these charts are certainly compatible with the thesis that gold will fall much further in dollar terms than in terms of these currencies, reflecting a relentless dollar rally during the deflation.

GOLD IS STILL MONEY

Have you ever traveled abroad and taken a look at the local currency and wondered how the citizens of that country could take seriously what looks like "Monopoly money?" I've got news for you: You're using the same stuff. Monopoly money is the money over which some government has a monopoly. It is the currency of the realm only because the state makes it illegal to use any other type.

Paper money created by a state (an entity that holds a monopoly on the use of force) is always doomed to depreciate to worthlessness